

The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

Vladimir Putin and **Xi Jinping** began talks in Beijing. They will focus on economics, Russia's leader said. China has avoided criticising Russia's war in Ukraine while buying more Russian oil and gas. Russia has grown increasingly reliant on such economic support. The two are expected to discuss building a long-touted gas pipeline between the two countries.

Mr Trump claimed **Iran** is “begging” to make a deal to end the war with **America**, but threatened “another big hit” in days without one. On Monday America's president said he paused a planned attack at the request of Gulf allies because of negotiations. **Kazem Gharibabadi**, Iran's deputy foreign minister, said his country was “prepared to confront any military aggression”.

Ken Paxton, Texas's attorney-general and a MAGA ally, was endorsed by Mr Trump in the state's upcoming Republican Senate primary. The president said **John Conryn**, the incumbent, “was not supportive of me when times were tough”. **Bill Cassidy**, a Republican who fell out of Mr Trump's favour, recently lost Louisiana's primary; **Thomas Massie**, another Trump rebel, is running in Kentucky's Republican primary on Tuesday.

Job vacancies in **Britain** fell to a five-year low in April, reported the country's statistics agency. Analysts suggested that the labour-market slump was caused by the war in Iran, which has raised prices of energy and food. **Unemployment** rose to 5% in the three months to March, from 4.9% in the three months to February. Private-sector wages grew by 3%, but were outpaced by inflation.

The World Health Organisation's boss said he was "deeply concerned about the scale and speed" at which the **Ebola** outbreak in the Democratic Republic of Congo has spread. At least 131 people have died from **the virus** and more than 500 have been infected in the regions along the country's border with Uganda. The WHO has declared the flare-up a "public-health emergency of international concern".

Reform UK, Britain's populist-right party, named Robert Kenyon as its candidate in the Makerfield by-election next month. He faces a competitive race against Labour's **Andy Burnham**, Greater Manchester's mayor and **the front-runner to replace Sir Keir Starmer**. To challenge the prime minister Mr Burnham must become an MP by winning the seat. Mr Kenyon came second in Makerfield during the general election in 2024.

Humanoid robots could replace almost two-thirds of **China's** shrinking labour force over the next decade, according to a report by Barclays. The British bank estimates that by 2035 China will have **deployed 24m robots**, equivalent to 4% of its labour force. They could do much of the work in the giant manufacturing sector. The country's population is expected to decline by 37m by then.

Figure of the day: \$2,030, the price of the cheapest tickets for the World Cup final—the most expensive cultural event ever. But FIFA's pricing **could backfire**.



Photograph: Getty Images

A test for the AI frenzy

Nvidia's earnings have become a bellwether for the artificial-intelligence business. The world's most valuable company reports quarterly results on Wednesday. Analysts think revenue in the first quarter reached \$78.5bn. That would be a rise of more than 78% year on year and would set a record. But investors may greet the numbers with caution. They are worried about whether the [chipmaker's customers](#) will continue their buying spree.

A looming challenge for Nvidia is the rise of “agentic AI”, in which computer systems carry out complex tasks on their own. That is expected to raise demand for central processing units, the sort of chips made by its competitors, Intel and AMD. Geopolitics is another worry. Nvidia's future in China, once one of its biggest markets, is uncertain. In December the American government allowed the American company to sell its H200 chips to China. But Donald Trump recently said that China had not approved purchases because it wants to “develop their own”. Chinese chip designers may not match Nvidia at the top end yet. But for China's AI firms, “good enough” may be good enough.



Photograph: Getty Images

China's narrow reflation

The [war in the Gulf](#) has raised inflation around the world. But the price shock hits differently in China. Prior to the conflict, inflation in the world's second-biggest economy was uncomfortably low. Producer prices had fallen, year on year, for 41 months in a row.

The war broke that grim sequence: producer prices rose a little in March and by 2.8% in April. This jump may deter the central bank from cutting interest rates this year, and the “loan prime rate” that commercial banks charge their best customers will presumably remain unchanged when it is announced on Wednesday. But this inaction may prove to be a mistake. China's reflation is narrow and domestic spending is still painfully weak. It may seem counterintuitive to ease monetary policy when inflation is rising. But that may be the only way to ensure that China doesn't slump back into deflation when the energy shock passes.



Photograph: EPA

A growing crisis in Indonesia

In a hastily scheduled address to parliament on Wednesday, Indonesia's president, Prabowo Subianto, is expected to unveil a new body to control commodity exports. The aim of the proposal appears to be to generate additional revenue from trade. Indonesia is the world's biggest exporter of thermal coal, nickel and palm oil. Its government needs the money if it is to stay under a limit on its budget deficit of 3% of GDP.

Mr Prabowo's unusual decision to deliver the last-minute address adds to the deepening [sense of crisis in Indonesia](#). On Tuesday the rupiah hit its lowest level on record against the dollar; the bourse lost 3.5% of its value. Over the weekend the president dismissed concerns about the rising cost of dollars, telling a crowd that villagers do not use them. That will do little to allay growing unease in the country.



Photograph: Getty Images

The future of Commerzbank

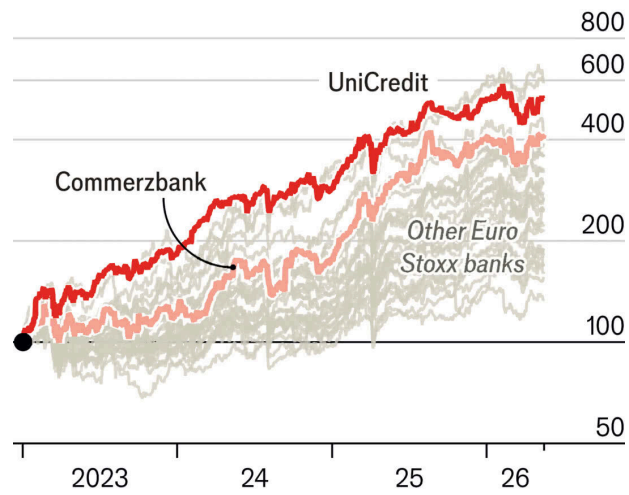
On Wednesday Commerzbank will hold perhaps the most eventful annual general meeting of its 156-year history. At stake is the survival of Germany's second-largest listed bank. Unibank, an Italian bank, is trying to buy it cheaply, for €35bn (\$41bn), using its own shares as currency. On May 18th the German bank urged its shareholders to reject the offer.

Over the past couple of years UniCredit has built a 36% stake in Commerzbank through share purchases and derivative contracts. Andrea Orcel, its boss, wants to buy the rest in order to merge Commerzbank with HypoVereinsbank, a German bank UniCredit bought in 2005. But Commerzbank's bosses see UniCredit's offer as an attack on their [tried-and-tested business model](#). They also think that Mr Orcel's offer is too low and that his targets for cost savings are unrealistic. This month Commerzbank presented the strategy it would adopt if it remains independent, which includes 3,000 job cuts. It is about to find out whether shareholders will endorse it.

Festa alla milanese

Share prices, January 2nd 2023=100

Log scale



Source: Bloomberg



Photograph: AP

Korean football diplomacy

Cheering crowds greeted the squad of Naegohyang FC, a North Korean football team, on their arrival in South Korea this weekend. On Wednesday they will face South Korean rivals in the AFC Women's Champions League semi-final—a rare instance of engagement between the countries, which are technically at war.

Inter-Korean dialogue has [ground to a halt](#) in recent years. This month North Korea abandoned its official goal of reunification with South Korea, having called its neighbour “the most hostile state” in recent years. But South Korea has said it wants to pursue “peaceful co-existence”. It has cracked down on acts that could irritate the North, such as activists sending propaganda balloons over the border. Its ruling Democratic Party suggested the football game could be “the first step towards tearing down high barriers”. If that may be too optimistic, there will at least be one big winner: [women's football](#), which usually gets little attention in South Korea.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which famous American landmark had the letters “land” removed in 1949?

Tuesday: Who along with his then wife Melinda, founded one of the world's largest charitable foundations in 2000?

*That so few now dare to be
eccentric, marks the chief danger
of the time.*

John Stuart Mill